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Asia Edge

The peace dividend is in the mail

This is an overview of key economic and market-relevant developments in Asia Edge economies. It is part of the our weekly EM Edge Data Watch link

- Asia Edge this week
- Pakistan's budget offers too narrow a path to fiscal targets
- Pakistan's central bank leaves policy rate unchanged

Mahmoud Harb

Asia Edge this week

The ceasefire in the Middle East, if it holds and leads to durable stability, will provide a meaningful tailwind to Asia Edge economies, which were among the most exposed to the global energy shock. With oil prices falling and hydrocarbon supply gradually normalizing, pressures on growth from supply constraints and energy-conservation measures should fade. Trade balances, which had deteriorated everywhere outside Mongolia, should gradually improve, all else being equal (Figure 1).

Inflation pressures, which had surged across the region in recent months, should also start to ease in Pakistan, Sri Lanka, and Vietnam. The impact may not be immediate, as governments are likely to begin to gradually withdraw the targeted support measures they introduced to contain the rise in fuel prices. Sri Lanka's government has announced that price adjustments will come only after it has sold the stock of fuel imported at high prices (link).

We keep our growth, inflation and current account forecasts for the region unchanged for now. Our baseline was premised on a June ceasefire, in line with J.P. Morgan Commodities Research assumptions. Our Commodities Research team also maintains its call for oil prices to remain slightly above US$100/barrel through 2026Q3 before falling to US$98/barrel in 2026Q4.

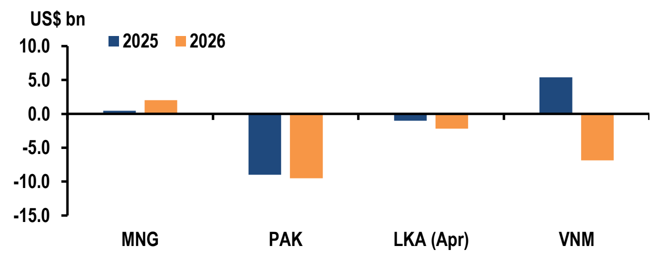
However, downside risks to our baseline growth projections have eased, as we had been concerned about possible non-linear risks to activity from fuel shortages had the Strait of Hormuz remained closed through the summer. We see upside risks to our forecasts for current accounts if oil prices settle near current levels of about US$80/barrel. For example, Pakistan's current account deficit, which we project at about 1% of GDP in FY2026/27, could narrow by about 0.5% of GDP, all else equal. Mongolia, which stood apart during the shock by benefiting from a commodity-export windfall, does not stand to lose much, as we expect the outlook for commodity exports to remain strong.

There are also important downside forecasts for inflation. Should oil prices settle around their current level of US$80/barrel, this could lower our peak inflation forecasts by about 1 percentage point in Sri Lanka and Vietnam and by around 2 percentage points in Pakistan. In Mongolia, where the recent inflation upsurge has been driven mostly by food prices, the immediate downside from lower oil prices will likely be smaller than elsewhere as imports from Russia at below-market prices have limited the rise in retail fuel prices.

While the disinflationary effects will likely emerge only gradually, the impact on policy flexibility should be felt sooner. Lower energy prices could give central banks greater confidence that recent inflation shocks were transitory, reducing pressure for further policy tightening. The State Bank of Pakistan, for example, remained on hold at a meeting that followed the announcement of the ceasefire.

Diplomats across the Middle East are certainly breathing a sigh of relief. So are central bankers in Asia.

Figure 1: Trade balance
March-May, seasonally-adjusted



Source: National authorities, Haver Analytics, J.P. Morgan

Pakistan's budget offers too narrow a path to fiscal targets

Pakistan's FY2026/27 draft budget, which we discussed in a recent note, reaffirms commitment to the IMF program and a 2% of GDP primary surplus target, following an estimated 2.5% surplus this year. If delivered, this would mark four consecutive years of primary surpluses and help reduce debt below 70% of GDP. We expect the fiscal targets to be achieved and the IMF to remain on track. However, we see increased risks of slippage amid repeated tax revenue shortfall, and believe large primary surpluses are unlikely to outlast the current IMF program.

Tax targets look difficult to achieve. Collections by the Federal Board of Revenue (FBR) in the ongoing FY2025/26 are estimated at about 0.3% of GDP below the May IMF review projection and close to 1% of GDP below the original FY2025/26 budget target, continuing a pattern of tax target misses under the program. For FY2026/27, the budget targets

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a 0.4% of GDP increase in FBR revenue, but planned measures are narrow in scope and their yield uncertain, while tax relief for salaried employees and businesses and lower taxes on property transactions will weigh on collections (Table 1). Provincial tax targets also look ambitious, especially given execution risks around the new agricultural income tax and pressure on the agricultural sector from higher input prices and weather conditions.

We still expect fiscal discipline to hold and the IMF program to remain broadly on track, but the adjustment burden is shifting increasingly to provincial and capital spending. FY2025/26 targets are likely to be met through lower spending under the Public Sector Development Program and additional provincial savings, while the FY2026/27 plan reduces transfers to provinces under an ad hoc mechanism and cuts their spending by about 0.7% of GDP. These savings may be difficult to sustain over the medium term, and leave little room to absorb potential tax shortfalls through further spending cuts.

Overall, we think the government will maintain fiscal discipline next year.The need to secure financing will require continued prudence. The budget plans about US$3 billion in net external borrowing next fiscal year (Table 2), the highest level in four years, and possibly including Eurobonds, panda bonds and rupee-linked, dollar settled instruments (link). This should be manageable given support from official creditors – mostly Saudi Arabia, the IMF, and other multilaterals – as well as Pakistan's recent track record of market access. However, lenders will look for a continued credible commitment to reforms.

Table 1: Pakistan's general government fiscal outturns and targets

In % of GDP	FY21/22-FY23/24	FY2024/25	FY2025/26*	FY2026/27 targets
Revenue and grants	**12.1**	**15.8**	**15.5**	**15.3**
Tax revenue	**10.4**	**12.3**	**12.5**	**13.3**
Federal	9.6	11.4	11.5	11.9
Provincial	0.8	0.9	1.0	1.4
Non-tax revenue	1.7	3.5	3.0	1.7
SBP Dividend	0.2	2.3	1.9	1.0
Total spending	**19.6**	**21.2**	**18.5**	**18.9**
Current expenditure	**17.5**	**18.9**	**16.8**	**17.3**
Federal	12.9	13.8	11.8	12.2
Interest	6.5	7.8	5.4	5.6
Non-interest	6.4	6.0	6.3	6.6
Provincial	4.6	5.1	5.2	5.1
lending	**2.3**	**2.6**	**1.8**	**1.5**
Overall budget balance	**-7.5**	**-5.4**	**-3.0**	**-3.6**
Primary budget balance	**-1.0**	**2.4**	**2.5**	**2.0**

Note:Projections for FY2025/26 reflect revised budget estimates

Source: Pakistan's Ministry of Finance, J.P. Morgan

Table 2: Pakistan's FY2026/27 financing plans (PKR bn)

Net external	813
Multilaterals ad bilaterals	30
Commercial and bonds	783
Net domestic financing	6046
Government securities	5772
Other	274
Privatizations	161

Source: Pakistan's Ministry of Finance, J.P. Morgan

Pakistan's central bank leaves policy rate unchanged

The State Bank of Pakistan left its policy rate unchanged at 11.5% at its meeting on June 15, in line with consensus but against our call for a 50bp hike (Figure 2). The decision follows the central bank's 100bp rate increase in April, its first hike in nearly three years. In its press release, the SBP noted the decline in global oil prices following the ceasefire in the Middle East. It attributed the rise in annual inflation from 7.3% in March to 11.7% in May to the direct impact of higher fuel and energy prices and their pass-through to transport and production costs (Figure 3). It also linked the acceleration in food inflation, from 3.5% in March to 7.9% in May, to higher prices for wheat and related products. The central bank expects inflation to remain in double digits over the next few months, well above its 5-7% target range, before gradually easing.

Under our Commodities Research team's baseline, which assumes oil prices around US$100/barrel through 3Q and US$98/barrel thereafter, Pakistan's headline inflation would peak at 14% in August. If oil prices stabilize at current levels, inflation would likely peak close to 12%, depending on the pace of domestic fuel-price adjustments and the behavior of food prices, which remain subject to upward pressure from global commodity prices. Under both scenarios, we believe the SBP should hike further, given that both headline and core inflation were already rising before the outbreak of the war in the Middle East and given the risk of inflation persistence. However, we have low conviction on how the SBP will react, partly reflecting the short track record under the new monetary policy regime. For now, we maintain our call for a 50bp hike in July.

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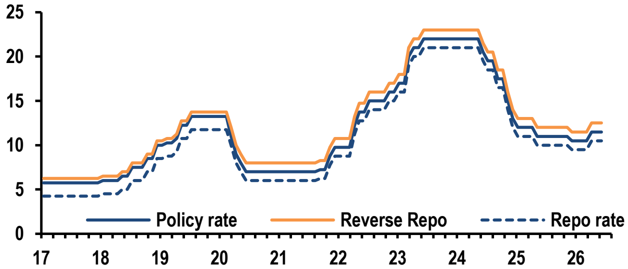
Figure 2: SBP's interest rate corridor

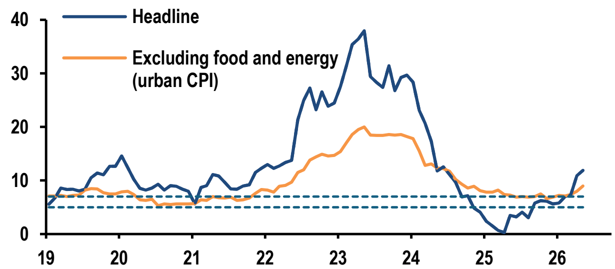
In %



Source: State Bank of Pakistan, Haver analytics, J.P. Morgan

Figure 3. Pakistan: Inflation

In %, oya



Source: Pakistan Bureau of Statistics, Haver analytics, J.P. Morgan forecasts

Data releases and forecasts

Week of Jun 22 - 26

No data releases.

Review of past week's data

Pakistan:

SBP rate decision

%

	Apr	May	Jun	
NBU discount rate	11.50	11.50		11.50

Sri Lanka:

Real GDP

%oya

	3Q25	4Q25	1Q26	
Real GDP, nsa	5.3	4.8	__	5.1

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